

In-house Labour and Material Calculation Formulas

This reference explains how Lisno calculates Labour expense, Material expense, each margin, and the final In-house subtotal. Labour and Material are calculated independently and then added together.

Inputs

B = Base Rate **Q** = Quantity **L** = Low Quantity Limit **I** = Impact percentage

M = Selected markup percentage, Starting or Minimum **D** = Discount percentage

Labour expense formula

Applied Labour Impact is the configured Labour Impact when Q is less than the Labour Low Quantity Limit. Otherwise it is zero.

Revised Labour Unit Rate = Labour Base Rate x (1 + Applied Labour Impact / 100)

Labour Expense = Revised Labour Unit Rate x Quantity

Material expense formula

Applied Material Impact is the configured Material Impact when Q is less than the Material Low Quantity Limit. Otherwise it is zero.

Revised Material Unit Rate = Material Base Rate x (1 + Applied Material Impact / 100)

Material Expense = Revised Material Unit Rate x Quantity

Margin and subtotal formulas

Markup is applied after the expense has been calculated. A discount reduces the selected markup; it does not reduce the expense.

Effective Markup = Selected Markup - Discount

Component Total = Expense x (1 + Effective Markup / 100)

Component Margin = Component Total - Expense

Total Expense = Labour Expense + Material Expense

Total Margin = Labour Margin + Material Margin

Subtotal = Total Expense + Total Margin

Worked example

Example inputs: Labour Base Rate Rs. 200, Material Base Rate Rs. 200, Quantity 1, applicable Impact 10%, Starting Markup 35%, and Discount 0%.

For both costs: Rs. 200 x 1.10 x 1 = Rs. 220 expense, then Rs. 220 x 35% = Rs. 77 margin.

Component	Expense	Margin	Total
Labour	Rs. 220.00	Rs. 77.00	Rs. 297.00
Material	Rs. 220.00	Rs. 77.00	Rs. 297.00
Combined	Rs. 440.00	Rs. 154.00	Rs. 594.00

Rounding: Lisno stores money in paise and rounds monetary results to the nearest paise. Impact is applied only when Quantity is strictly less than the Low Quantity Limit; it is not applied when Quantity equals the limit.

Terminology: The configured percentage is a cost-plus markup. For example, 35% markup on Rs. 220 produces Rs. 77 margin and Rs. 297 total.